

2.4. Withdrawal of opposition or appeal at short notice

An appellant is entitled to withdraw his appeal at any time. Based on the principle of free party disposition, this right may not be restricted, even implicitly by the threat of cost apportionment, on the grounds that oral proceedings have been scheduled and the opposing party cannot be notified in time. As a rule, the benefits that respondents derive from the withdrawal of the appeal will offset the costs that they incur, even if they are avoidable. That is the case even if the appeal is only formally pending on account of the request for cost apportionment (T.490/05).

In T.85/84 the appellants withdrew the appeal in a telex to the EPO and the respondents' representative **48 hours** before the date of the oral proceedings. By the time the respondents' representative found out, he had already departed in order to prepare for the oral proceedings in Munich. The board conceded that the appeal had been withdrawn at extremely short notice but did not order apportionment of the costs, as the respondents' representative had still been informed in due time that the oral proceedings would not be taking place. Internal delays in forwarding the communication were not the fault of the appellants. The representative's departure for Munich a day before the oral proceedings was not warranted by the distance and therefore not necessary from the point of view of the oral proceedings.

In T.614/89 and T.772/95, in which the appeals were withdrawn respectively **four and three days** before the date set for oral proceedings, the boards ruled that the short notice alone did not constitute an abuse of procedure.

The same conclusion was reached in T.674/03, where the opponent withdrew its appeal **nine days** before the date set for the oral proceedings. The board held that the exercise of an absolute procedural right did not, in principle, constitute abuse and that there was no evidence of improper or negligent conduct (see also T.626/15).

In T.1663/13 the opponent waited until the **last working day** before the oral proceedings scheduled to withdraw both its request for oral proceedings and its appeal. The board cancelled the oral proceedings. The board agreed with the principles set out in T.490/05. However, it held that the case was not simply about withdrawing an appeal on the last working day before scheduled oral proceedings. Rather, the board noted the **special circumstances of the case**, inter alia, that the opponent did not follow the board's direction to declare whether it maintained its request for oral proceedings in view of the board's negative opinion on the admissibility of the appeal, but instead twice requested an extension of time limit without filing any substantive reply. The board decided to apportion costs and fix the amount both for preparing the oral proceedings and for travel.

2.5. Other cases

In T.952/00 the board found that the wrongful act, whether intentional or simply the result of culpable negligence, had to be judged in the light of the normal behaviour of an ordinarily diligent party. It also had to be the direct cause of the costs in suit. In the case in point, it transpired that the proprietor had culpably made **inaccurate statements** in the course of

the proceedings. The board concluded that without those false statements the opponent (appellant) would not have been required to go to the expense of gathering further evidence. Its request for an apportionment of the costs it had incurred during taking of evidence after notification of the decision at first instance was therefore granted.

In T 1714/14 the respondent (patent proprietor) had **not filed a full copy** of P1 but only one page. According to the appellant (opponent), this behaviour confirmed the patentee's intention to withhold information relevant for the issues to be decided. The board held that, even if the impression resulting from the content of the sole page of P1 could be misleading in the context of the proceedings, nothing pointed in the direction of the appellant's costs incurred by the opposition proceedings being attributable in any causal fashion to negligent or even abusive behaviour by the respondent. For this reason alone, no apportionment of these costs could take place. The case in hand also differed from T 952/00, where inaccurate statements had culpably been made, as well as from T 273/10, where documents had abusively been withheld.

In T 269/02, according to the respondent, the appellant had been given sufficient opportunity before the opposition division to amend its claims to overcome the problem under Art. 123(2) EPC 1973. However, the appellant had chosen not to do this, with the result that the patent was revoked on this ground, rendering necessary the appeal proceedings, which dealt solely with the issue of amendment. Contrary to the respondent's assertions, the board stated that in cases such as the present, where the patent had been revoked in opposition proceedings, the appellant must be given the opportunity to study the decision of the opposition division duly substantiated in writing in order to enable it to decide on the **formulation of appropriate requests** for the appeal proceedings. In these circumstances, the board did not find that the appellant had abused or exceeded its legitimate rights, in a way which arbitrarily caused the respondents to incur costs which, in all fairness, ought to be reimbursed. The request for an apportionment of costs was therefore refused.

In T 916/05 the circumstances did not justify a different apportionment of costs. The fact that some of the arguments had not been presented before and could have been filed in oral proceedings before the opposition division, had such proceedings taken place, was in the board's opinion irrelevant and could not be regarded as an abuse of procedure. In fact, an appellant could not be prevented from choosing a **different line of argument** when making its case before a board of appeal.

In T 162/04 the respondent requested a different apportionment of costs because it had had to invest a considerable amount of time and effort in considering the numerous requests submitted by the appellant during the appeal proceedings. However, the appellant's **requests were later withdrawn** rendering the time and effort of the respondent, in its view, useless. In the board's judgment, such conduct did not amount to an abuse of procedure. Indeed, the conduct of the appellant, who by withdrawing the contested requests and by **replacing them with other requests** was apparently trying to overcome the objections which had been raised, was not as such objectionable but had to be considered as a legitimate defence of its case. The request for an apportionment of costs was therefore refused (likewise T 967/12).

In **T.248/05** the board held that the alleged **lack of clarity** of the category of the claimed subject-matter and the possible associated additional costs which could be incurred by a clarification of this subject-matter would not justify apportioning the respondent's costs to the appellant. Firstly, the criticised elements of claim 1 and the alleged vagueness of the statement setting out the grounds of appeal were entirely irrelevant for the subject-matter of the appeal in point, i.e. the findings of the opposition division on added subject-matter. Secondly, lack of clarity of a claim or of a submission could hardly be regarded as an abuse of procedure unless this were intentional.

In **T.854/12** the board decided that a different apportionment of costs was justified where procedural stages had needlessly had to be repeated because a **lack of clarity as to the owner** of the company purportedly acting as a party had been deliberately exploited or at least knowingly allowed to persist during the proceedings.

3. Expenses that may be apportioned

Under R. 88(1) EPC (R. 63(1) EPC 1973) the decision on apportionment of costs in opposition proceedings may consider only the expenses necessary to ensure proper protection of the rights involved (**T.167/84**, OJ 1987, 369; **T.117/86**, OJ 1989, 401; **T.416/87**, OJ 1990, 415; **T.323/89**, OJ 1992, 169). The order for apportionment of costs should be such as to compensate the other party for the unnecessary costs which it has incurred as the direct result of the appellant's failure in its duty (**T.952/00**, **T.212/07**). On the costs of interpreting at oral proceedings, see chapter III.C.8.2.

According to Art. 16 RPBA 2007, **the costs ordered to be paid in appeal proceedings** may be all or part of those incurred by the receiving party and may inter alia be expressed as a percentage or as a specific sum. In the latter event, the board's decision is a final decision for the purposes of Art. 104(3) EPC. The costs ordered may include costs charged to a party by its professional representative, costs incurred by a party itself whether or not acting through a professional representative, and the costs of witnesses or experts paid by a party but shall be limited to costs necessarily and reasonably incurred.

3.1. Necessary expenses

Under R. 88(1), third sentence, EPC, the costs include the remuneration of the parties' representatives. In **T.854/09** the board stated that the costs concerned were those reasonably incurred by the opponent. In this case, where an adjournment of oral proceedings was necessary, this included the expense of a single representative preparing for and attending the second proceedings, including travel and accommodation. Under R. 88(2), last sentence, EPC, costs may be fixed once they have been established as credible. The request must be accompanied by a bill of costs and supporting evidence. The board in **T.475/07** exceptionally took the view that a detailed cost calculation was superfluous. It worked on the assumption that the representative could calculate on the basis of one day for preparing the additional oral proceedings and one day for attending them. The cost estimate of EUR 2 300 thus seemed credible.

In T. 930/92 (OJ 1996, 191) the board held that, when fixing the amount of costs to be paid to a party, in addition to the remuneration of the professional representative of that party, the expenses incurred by an employee of that party in order to instruct the professional representative before and during oral proceedings could be taken into consideration under R. 63(1) EPC 1973, if such instruction was necessary to assure proper protection of the rights involved. In T. 326/87 (OJ 1992, 522), all the costs incurred as a result of the remittal to the department of first instance were deemed to be apportionable.

In T. 301/12 the board considered that, in the absence of exceptional circumstances, the attendance of accompanying persons in addition to a professional representative at the oral proceedings was as a rule a matter of choice, but not a necessity within the meaning of R. 88(1) EPC (T. 258/13; see also T. 930/92, where the presence of one member of the respondent's company was considered justified under the circumstances). In the case in hand, no such exceptional circumstances had arisen that would have justified the apportionment also comprising the costs of two experts accompanying the respondent's representative. In particular, based on the submissions on file, no expert discussion would have been expected.

In T. 280/15 the appellant's notice of non-attendance at the oral proceedings had been received only the evening before them. In the board's view, the respondent had incurred costs that could have been avoided, such as travel and accommodation expenses and its professional representative's fee for 12 hours' preparation.

3.2. Future costs

The prevailing view in the boards' case law is that they should not take a decision on the apportionment of future costs because they have no basis for assessing them and lack jurisdiction (T. 1178/04, OJ 2008, 80; T. 1801/17). Thus the board in T. 758/99 held that a decision on the apportionment of **future** costs in appeal proceedings caused by the late filing of documents depended on the course of the subsequent procedure and, in the absence of the necessary facts, could not be decided at that stage (see also T. 133/06). For these reasons the board deviated from the judgment given in T. 611/90, in which the legitimately incurred future costs had been apportioned. The board remitted the case to the department of first instance and ordered that a decision on the request for apportionment of costs would be taken at a later stage (see also T. 223/95, T. 758/99, T. 890/00, T. 48/00 and T. 1182/01).

In T. 369/08 the board also stated that it was apparent that the costs arising would depend on the course of the future proceedings. According to the board, the consequence of this is that the board necessarily is not in possession of the necessary facts to decide upon an apportionment of costs. Consequently the Board considered it appropriate not to make an open-ended order of apportionment of costs as had been done in the aforementioned T. 611/90.

In T. 1282/08 the board noted that in some cases some boards of appeal ordered the apportionment of future costs (see T. 847/93, T. 715/95) and the scenarios facing these other boards might have been different in the above-cited cases. Nevertheless, the board

had difficulty seeing how it could make a decision, at the remittal stage, on the apportionment of costs yet to be incurred in subsequent proceedings, the course and outcome of which were still open to speculation. Hence the possible apportionment of opposition costs was to be decided by the opposition division at the end of the opposition proceedings.

In T 1777/15 the board held that it followed from the wording of the relevant provisions that a decision on an apportionment of costs could not be made in respect of future costs: Art. 104(1) EPC ("costs [a party] **has** incurred", emphasis by the board); R. 88(2) EPC, which requires submitting a bill of costs; and Art. 16(1) RPBA 2007.

3.3. Procedure for fixing costs

Under R. 88(2) EPC, costs will be fixed only at the request of the entitled party. The request must be filed with the registry of the opposition division and is not subject to a time limit. Under R. 88(3) EPC, a request for a decision by the opposition division on the amount fixed by the registry must be filed within one month of the communication on the fixing of costs. It must be filed in writing and state the grounds on which it is based. It is not deemed to be filed until the fee prescribed in Art. 2(1) item 16 RFees has been paid.

In T 668/99 the question was raised as to whether the prohibition of reformatio in peius also applied if the proceedings were not referred to a higher level of jurisdiction but were continued within the same level of jurisdiction, as was the case with a **legal remedy against the fixing of the costs** by the opposition division registry. The board recalled that an appeal and a request for an opposition division decision have far more similarities (suspensive and devolutive effect) than differences, and so the position of the sole requester is comparable to that of the sole appellant. The board was therefore satisfied that the prohibition of reformatio in peius also had to apply to a request under Art. 104(2), second sentence, EPC 1973.

Where the **boards of appeal** have to rule on the apportionment of costs, they have the power under Art. 104 EPC (Art. 111(1) EPC 1973) and having due regard to Art. 113(1) EPC 1973, not only to apportion but also to fix the costs (see e.g. T 934/91, OJ 1994, 184; T 323/89, OJ 1992, 169; T 930/92, OJ 1996, 191; for a more recent decision in which the board fixed the amount of the costs, see T 1663/13). The scope of the apportionment depends on the specific circumstances of the individual case. The party to the proceedings who caused the additional costs may be ordered to pay all or a part of those costs (T 323/89, OJ 1992, 169).

3.4. Appeal against decision fixing amount of costs

According to R. 97(2) EPC, the decision fixing the amount of costs of opposition proceedings cannot be appealed unless the amount exceeds that of the fee for appeal.

In T 161/17 the appellant had contested only the opposition division's decision fixing costs and not its earlier interlocutory decision (on maintenance of the patent in amended form), in which it had also ordered a different apportionment of those costs. The board considered